



# Home equity

The amount of equity in a home is a measure of a property's value. It is the realizable amount an owner could expect if, after taking account of debts against it, their property was sold.

## How it works

The equity of a property is calculated by subtracting all of the outstanding debts relating to that property from its actual value. The amount of equity rises as the mortgage (loan) is paid off, and/or the property's value increases.

Financial institutions work out home equity as a loan-to-value (LTV) rate, which is arrived at by dividing any remaining loan balance by the current market value of the property. A low LTV (less than 80 per cent) is seen as lower risk for further lending.



## NEED TO KNOW

- › **Collateral** A property or asset that a lender will take if a borrower fails to pay a loan.
- › **Home equity loan** A loan that uses equity in a property as collateral.
- › **Equity** A property's equity is equal to the current value of the property minus the outstanding loan amount.

US\$11.9  
trillion  
US mortgage debt  
at the end of 2008

## Loan

As the mortgage is paid off, loan-to-value decreases.

## Positive equity

If the actual market value of a property is greater than the amount of debt owed on it in the form of a mortgage, then the property is said to be in positive equity.

